14
Examining transport documents

Learning objectives

This chapter highlights the requirements when examining transport documents.

By the end of this chapter, you should be able to:

- understand the key examination criteria for transport documents;
- identify the different characteristics of transport documents; and
- explain a bank's examination of documents against the provisions of UCP 600, articles 19–25, and the practices articulated in ISBP 745, sections D–J.

14.1 Transport documents issued by freight forwarders and indication of a goods description

ISBP 745, paragraphs D3(b), E3(b), F2(b) and H3(b) provide the practice that is to be applied when a documentary credit specifically makes mention of the acceptance of a freight forwarder type of transport document.

ISBP 745, paragraph D3(b), relates to multimodal transport documents.

> b. When a credit indicates "Freight Forwarder's Multimodal Transport Document is acceptable" or "House Multimodal Transport Document is acceptable" or words of similar effect, a multimodal transport document may be signed by the issuing entity without it being necessary to indicate the capacity in which it has been signed or the name of the carrier.

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ISBP 745, paragraph E3(b), relates to bills of lading.

> b. When a credit indicates "Freight Forwarder's Bill of Lading is acceptable" or "House Bill of Lading is acceptable" or words of similar effect, a bill of lading may be signed by the issuing entity without it being necessary to indicate the capacity in which it has been signed or the name of the carrier.

ISBP 745, paragraph F2(b), relates to non-negotiable sea waybills.

> b. When a credit indicates "Freight Forwarder's non-negotiable sea waybill is acceptable" or "House non-negotiable sea waybill is acceptable" or words of similar effect, a non-negotiable sea waybill may be signed by the issuing entity without it being necessary to indicate the capacity in which it has been signed or the name of the carrier.

ISBP745, paragraph H3(b), relates to air transport documents.

> b. When a credit indicates "Freight Forwarder's air waybill is acceptable" or "House air waybill is acceptable" or words of similar effect, an air transport document may be signed by the issuing entity without it being necessary to indicate the capacity in which it has been signed or the name of the carrier.

ISBP 745, paragraphs D4, E4, F3 and H4, provide the practice that is to be applied when a documentary credit states that a freight forwarder type transport document is *not* allowed.

ISBP 745, paragraph D4, relates to multimodal transport documents.

> A stipulation in a credit that "Freight Forwarder's Multimodal Transport Documents are not acceptable" or "House Multimodal Transport Documents are not acceptable" or words of similar effect has no meaning in the context of the title, format, content or signing of a multimodal transport document unless the credit provides specific requirements detailing how the multimodal transport document is to be issued and signed. In the absence of these requirements, such a stipulation is to be disregarded, and the multimodal transport document presented is to be examined according to the requirements of UCP 600 article 19.

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ISBP 745, paragraph E4, relates to bills of lading.

> A stipulation in a credit that "Freight Forwarder's Bills of Lading are not acceptable" or "House Bills of Lading are not acceptable" or words of similar effect has no meaning in the context of the title, format, content or signing of a bill of lading unless the credit provides specific requirements detailing how the bill of lading is to be issued and signed. In the absence of these requirements, such a stipulation is to be disregarded, and the bill of lading presented is to be examined according to the requirements of UCP 600 article 20.

ISBP 745, paragraph F3, relates to non-negotiable sea waybills.

> A stipulation in a credit that "Freight Forwarder's non-negotiable sea waybill is not acceptable" or "House non-negotiable sea waybill is not acceptable" or words of similar effect has no meaning in the context of the title, format, content or signing of a non-negotiable sea waybill unless the credit provides specific requirements detailing how the non-negotiable sea waybill is to be issued and signed. In the absence of these requirements, such a stipulation is to be disregarded, and the non-negotiable sea waybill presented is to be examined according to the requirements of UCP 600 article 21.

ISBP 745, paragraph H4, relates to air transport documents.

> A stipulation in a credit that "Freight Forwarder's air waybill is not acceptable" or "House air waybill is not acceptable" or words of similar effect has no meaning in the context of the title, format, content or signing of an air transport document unless the credit provides specific requirements detailing how the air transport document is to be issued and signed. In the absence of these requirements, such a stipulation is to be disregarded, and the air transport document presented is to be examined according to the requirements of UCP 600 article 23.

ISBP 745, paragraphs D26, E22, F20, G20, H22 and J17, provide the practice for indicating a goods description on a transport document.

ISBP 745, paragraph D26, applies to multimodal transport documents.

> A goods description indicated on a multimodal transport document may be in general terms not in conflict with the goods description in the credit.

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ISBP 745, paragraph E22, applies to bills of lading.

> A goods description indicated on a bill of lading may be in general terms not in conflict with the goods description in the credit.

ISBP 745, paragraph F20, applies to non-negotiable sea waybills.

> A goods description indicated on a non-negotiable sea waybill may be in general terms not in conflict with the goods description.

ISBP 745, paragraph G20, applies to charter party bills of lading.

> A goods description indicated on a charter party bill of lading may be in general terms not in conflict with the goods description in the credit.

ISBP 745, paragraph H22, applies to air transport documents.

> A goods description indicated on an air transport document may be in general terms not in conflict with the goods description in the credit.

Finally, **ISBP 745, paragraph J17**, applies to road, rail or inland waterway transport documents.

> A goods description indicated on a road, rail or inland waterway transport document may be in general terms not in conflict with the goods description in the credit.

14.2 Examining a transport document covering at least two different modes of transport

UCP 600, article 19, is the rule to be applied when examining a transport document that covers at least two different modes of transport.

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a. A transport document covering at least two different modes of transport (multimodal or combined transport document), however named, must appear to:

i. indicate the name of the carrier and be signed by:

- the carrier or a named agent for or on behalf of the carrier, or
- the master or a named agent for or on behalf of the master.

Any signature by the carrier, master or agent must be identified as that of the carrier, master or agent.

Any signature by an agent must indicate whether the agent has signed for or on behalf of the carrier or for or on behalf of the master.

ii. indicate that the goods have been dispatched, taken in charge or shipped on board at the place stated in the credit, by:

- pre-printed wording, or
- a stamp or notation indicating the date on which the goods have been dispatched, taken in charge or shipped on board.

The date of issuance of the transport document will be deemed to be the date of dispatch, taking in charge or shipped on board, and the date of shipment. However, if the transport document indicates, by stamp or notation, a date of dispatch, taking in charge or shipped on board, this date will be deemed to be the date of shipment.

iii. indicate the place of dispatch, taking in charge or shipment and the place of final destination stated in the credit, even if:

a) the transport document states, in addition, a different place of dispatch, taking in charge or shipment or place of final destination, or

b) the transport document contains the indication "intended" or similar qualification in relation to the vessel, port of loading or port of discharge.

iv. be the sole original transport document or, if issued in more than one original, be the full set as indicated on the transport document.

v. contain terms and conditions of carriage or make reference to another source containing the terms and conditions of carriage (short form or blank back transport document). Contents of terms and conditions of carriage will not be examined.

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vi. contain no indication that it is subject to a charter party.

b. For the purpose of this article, transhipment means unloading from one means of conveyance and reloading to another means of conveyance (whether or not in different modes of transport) during the carriage from the place of dispatch, taking in charge or shipment to the place of final destination stated in the credit.

c.

i. A transport document may indicate that the goods will or may be transhipped provided that the entire carriage is covered by one and the same transport document.

ii. A transport document indicating that transhipment will or may take place is acceptable, even if the credit prohibits transhipment.

There is further detail on when UCP 600, article 19, will apply in **ISBP 745, paragraph D1**.

a. A requirement in a credit for the presentation of a transport document, however named, covering movement of goods utilizing at least two different modes of transport means that UCP 600 article 19 is to be applied in the examination of that document.

b. i. A multimodal or combined transport document is not to indicate that shipment or dispatch has been effected by only one mode of transport, but it may be silent regarding some or all of the modes of transport utilized.

ii. A multimodal or combined transport document is not to contain any indication of a charter party as described in paragraphs G2 (a) and (b).

c. When a credit requires the presentation of a transport document other than a multimodal or combined transport document, and it is clear from the routing of the goods stated in the credit that more than one mode of transport is to be utilized, for example, when an inland place of receipt or final destination are indicated, or the port of loading or discharge field is completed but with a place which is in fact an inland place and not a port, UCP 600 article 19 is to be applied in the examination of that document.

A multimodal transport document is a document that covers the transport of goods by more than one mode (that is, by use of *multiple* modes of transport).

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14.2.1 Document analysis – multimodal or combined transport document

As with other documents, the key under a documentary credit is that the presented document complies. There are a number of rules in UCP 600, article 19, that are important for the document examiner. These are indicated by notes 1–10 in the extracts from article 19 below.

a. A transport document covering at least two different modes of transport [1] (multimodal or combined transport document), however named [2], must appear to:

i. indicate the name of the carrier and be signed [3] by:

- the carrier or a named agent for or on behalf of the carrier, or
- the master or a named agent for or on behalf of the master.

Any signature by the carrier, master or agent must be identified as that of the carrier, master or agent.

Any signature by an agent must indicate whether the agent has signed for or on behalf of the carrier or for or on behalf of the master.

1. **' … two different modes of transport'**

   A document examiner must determine whether either of the following conditions are met:

   - the documentary credit stipulates, or by its terms and conditions requires, the presentation of a transport document covering more than one mode of transport or identifies the document to be presented with similar wording, such as 'combined transport document'; or
   - the documentary credit does not expressly describe the document to be presented as a multimodal, combined or through transport document, but instead calls for a transport document covering two or more specified journeys that will involve different modes of transport.

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2. **' ... however named'**

Subject to the terms and conditions of the documentary credit, a document complying with the requirements of UCP 600, article 19, will be accepted irrespective of the title shown on the document. The title of the document is not a criterion.

The criteria are that:

- the terms and conditions of the documentary credit have been satisfied; and
- the document complies with the requirements of UCP 600, article 19.

3. **'indicate the name of the carrier and be signed'**

The document must clearly indicate the name of the carrier. This may be by a specific reference therein to a company name as being the carrier or as part of the manner in which the document is signed.

The document must appear to have been signed by:

- the carrier or a named agent for or on behalf of the carrier; or
- the master or a named agent for or on behalf of the master (UCP 600, sub-article 19(a)(i)).

Any signature by the carrier, master or agent must be identified as that of the carrier, master or agent. Any signature by an agent must indicate whether it has signed for or on behalf of the carrier or for or on behalf of the master. This is covered in **ISBP 745, paragraph D5**.

a. A multimodal transport document is to be signed in the form described in UCP 600 sub-article 19 (a) (i) and to indicate the name of the carrier, identified as the carrier.

b. When a multimodal transport document is signed by a named branch of the carrier, the signature is considered to have been made by the carrier.

c. When an agent signs a multimodal transport document for [or on behalf of] the carrier, the agent is to be named and, in addition, to indicate that it is signing as "agent for (name), the carrier" or as "agent on behalf of (name), the carrier" or words of similar effect. When the carrier is identified elsewhere in the document as the "carrier", the named agent may sign, for example, as "agent for [or on behalf of] the carrier" without naming the carrier again.

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d. When the master (captain) signs a multimodal transport document, the signature of the master (captain) is to be identified as the "master" ("captain"). The name of the master (captain) need not be stated.

e. When an agent signs a multimodal transport document for [or on behalf of] the master (captain), the agent is to be named and, in addition, to indicate that it is signing as "agent for the master (or captain)" or as "agent on behalf of the master (or captain)" or words of similar effect. The name of the master (captain) need not be stated.

ii. indicate that the goods have been dispatched, taken in charge or shipped on board at the place stated in the credit [4], by:

- pre-printed wording, or
- a stamp or notation indicating the date on which the goods have been dispatched, taken in charge or shipped on board.

The date of issuance of the transport document will be deemed to be the date of dispatch, taking in charge or shipped on board, and the date of shipment [5]. However, if the transport document indicates, by stamp or notation, a date of dispatch, taking in charge or shipped on board, this date will be deemed to be the date of shipment.

4. **'… dispatched, taken in charge or shipped on board at the place stated in the credit'**

The multimodal transport document must indicate 'that the goods have been dispatched, taken in charge or shipped on board at the place stated in the credit'. This indication must be in one of two forms:

- pre-printed wording on the document; or
- a stamp or notation on the document.

Pre-printed wording may be used in cases in which the document is issued after the goods have been dispatched, taken in charge or shipped. A separate notation (added after the document is issued) is required in cases in which it is issued before dispatch, taking in charge or shipment.

The document must contain clear evidence that any dispatch, taking in charge or shipped on board date relates to the place stated in the credit.

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5. **' ... date of shipment'**

   Dispatch, taking in charge or shipped on board may be indicated by either:

   - wording to that effect on the multimodal transport document; or
   - stamp or notation.

   If it is indicated by wording to that effect, the date of issuance of the document is deemed to be the date of dispatch, taking in charge or shipped on board, and the date of shipment. If it is indicated by stamp or notation, the date of the stamp or notation is deemed to be the date of shipment.

This is covered in **ISBP 745, paragraph D6**.

> The issuance date of a multimodal transport document will be deemed to be the date of receipt, dispatch, taking in charge or shipment on board and the date of shipment, unless it bears a separate dated notation evidencing receipt, dispatch, taking in charge or shipment on board from the place, port or airport stated in the credit. In the latter event, such date will be deemed to be the date of shipment whether that date is before or after the issuance date of the multimodal transport document. A separate dated notation may also be indicated in a designated field or box.

iii. indicate the place of dispatch, taking in charge or shipment and the place of final destination [6] stated in the credit, even if:

a. the transport document states, in addition, a different place of dispatch, taking in charge or shipment or place of final destination,or

b. the transport document contains the indication "intended" or similar qualification in relation to the vessel, port of loading or port of discharge.

6. **' ... place of dispatch, taking in charge or shipment and the place of final destination'**

   The multimodal transport document must indicate the place of taking in charge and the place of final destination stipulated in the documentary credit (UCP 600, sub-article 19(a)(iii)). This rule also specifically provides that the place of taking in charge may be different from the port, airport or place of loading.

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These provisions reflect normal practice in multimodal transport operations.

Example

The MTO (Multimodal Transport Operator) may take the goods in charge at a warehouse in the beneficiary's location (an inland city), for shipment by sea, and deliver them finally to another warehouse in the applicant's home city. In this case, the documentary credit may indicate that the starting point is the port of loading, with the final destination as the applicant's warehouse. The multimodal transport document will also indicate both of these places, but it may also show the taking in charge at the beneficiary's warehouse. This information has no bearing on the documentary credit. The transport document must evidence an on board notation at the port of loading stated in the credit, if that is the point of commencement of the journey under the documentary credit.

ISBP 745, paragraph D10, covers the situation in which the documentary credit indicates a geographical area, or range of places or ports, for the commencement of the journey.

When a credit indicates a geographical area or range of places of receipt, dispatch, taking in charge, ports of loading or airports of departure (for example, "Any European Country" or "Hamburg, Rotterdam, Antwerp Port"), a multimodal transport document is to indicate the actual place of receipt, dispatch, taking in charge, port of loading or airport of departure, which is to be within that geographical area or range of places. A multimodal transport document need not indicate the geographical area.

iv. be the sole original transport document or, if issued in more than one original, be the full set [7] as indicated on the transport document.

7. **' … full set'**

Original transport documents must be presented. The following rules have been established.

- If a multimodal transport document (MMTD) is issued in one original only, that sole original must be presented.
- If a MMTD is issued in more than one original, the full set as indicated on the document itself must be presented.

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This means that a document examiner must determine:

- whether the MMTD has been issued as a sole original or as a set;
- (if the MMTD has been issued as a set in several originals) how many originals constitute the full set;
- (in the case of a sole original) whether or not the document presented is the original in question; and
- (if the case of an MMTD issued in a set) whether or not all of the originals comprising the set have been presented.

It is normal practice for an MMTD to include an indication of the number of originals that have been issued. This usually appears next to the space for signature of the document, at the bottom of the page.

A documentary credit may, for example, require one original MMTD to be sent directly to the applicant or to a named third party. In this event, and in the case of an MMTD issued as a sole original, no original MMTD could be submitted with the other documents. In the case of an MMTD issued in more than one original, the number of original MMTDs submitted with the other documents would be less by one of the number of originals shown as issued.

This is covered in **ISBP 745, paragraph D15**.

a. A multimodal transport document is to indicate the number of originals that have been issued.

b. Multimodal transport documents marked "First Original", "Second Original", "Third Original", or "Original", "Duplicate", "Triplicate" or similar expressions are all originals.

v. contain terms and conditions of carriage [8] or make reference to another source containing the terms and conditions of carriage (short form or blank back transport document). Contents of terms and conditions of carriage will not be examined.

vi. contain no indication that it is subject to a charter party [9].

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8. **' … terms and conditions of carriage'**

In most cases, the terms and conditions of carriage will be stated on the transport document. It can be that the detailed terms and conditions of carriage are set out in a master document held by the carrier for convenience. The transport document will then incorporate these conditions by reference, but will not quote them on the document itself. Documents of this type are often referred to as 'short form' or 'blank back' documents. UCP 600, sub-article 19(a)(v) specifically provides that short-form or blank-back transport documents are acceptable. This rule applies whenever such document appears to 'contain terms and conditions of carriage or make reference to another source containing the terms and conditions of carriage'.

A document examiner is required to examine the transport document only against those required by the documentary credit and under UCP 600, article 19. There is no obligation to find out what the detailed terms and conditions of carriage are and they do not need to be examined.

9. **' … charter party'**

A multimodal transport document is not acceptable if it contains any indication that it is subject to a charter party.

b. For the purpose of this article, transhipment [10] means unloading from one means of conveyance and reloading to another means of conveyance (whether or not in different modes of transport) during the carriage from the place of dispatch, taking in charge or shipment to the place of final destination stated in the credit.

c.

i. A transport document may indicate that the goods will or may be transhipped provided that the entire carriage is covered by one and the same transport document.

ii. A transport document indicating that transhipment will or may take place is acceptable, even if the credit prohibits transhipment

10. **' … transhipment'**

A prohibition of transhipment, as defined in **ISBP 745, paragraph D21**, is ineffective in the case of carriage conducted solely under a single multimodal transport document.

Should transhipment be prohibited, banks will accept a multimodal transport document showing that transhipment has occurred, as long

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as the entire journey is covered by one and the same multimodal transport document.

In multimodal transport transhipment will occur. Transhipment is the unloading and reloading of goods from one means of conveyance to another means of conveyance (whether or not in different modes of transport) during the carriage of those goods from the place of receipt, dispatch or taking in charge, port of loading or airport of departure to the place of final destination, port of discharge or airport of destination stated in the credit.

Notes to Figure 14.1

Key criteria

Documentary credit requires the presentation of a multimodal transport document covering shipment from Hong Kong to Manchester.

1. However named – document can be titled multimodal transport document, combined transport document, through bill of lading etc.
2. Name of carrier – at the signature line, the carrier (Titanic Line) is identified.
3. Signed – the document is signed by IFS Shipping as agents of the carrier.
4. Evidence of shipment from Hong Kong – there is a dated on board notation indicating that the goods were shipped from Hong Kong port on 30 May 20XX.
5. Date of shipment – the document is issued on 28 May 20XX but the on board date is 30 May 20XX. The date of shipment is 30 May 20XX.
6. Although the documentary credit required shipment from Hong Kong to Manchester, the document indicates that the goods were received by the agent or the carrier in Kowloon. The carriage between Kowloon and Hong Kong port is outside the terms of the documentary credit. A document examiner is only interested in the carriage from Hong Kong and when this occurred.
7. Full set – the document indicates that three originals have been issued.

Also note the following:

- Terms and conditions of carriage – either the full terms will be indicated on the reverse of this page or they will be referenced by an address, web address, location where they may be viewed (short form or blank back).
- Charter party – there is no indication that the shipment was subject to a charter party.
- Transhipment – this document covers the carriage from Kowloon to Manchester via Hong Kong and Southampton ports.

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Figure 14.1 Multimodal transport document

Shipper (Complete name, address and phone number)

Consignee (Not negotiable unless consigned to order)

Notify party (Carrier not to be responsible for failure to notify)

Bill of Lading
For Combined Transport or
Port to Port Shipment

1

B/L No.: 134
Booking Ref: ABC567
Shipper's Ref: XYZ056

Titanic Line
Anytown, Anywhere

Pre-carriage by*	Place of receipt*
Road	Kowloon
Vessel Voy. No.	Port of loading
CDCS Express	Hong Kong
Port of discharge	Place of delivery*
Southampton	Manchester

6

*Applicable only when this document is used as a Combined Transport Bill of Lading

Marks and Nos. Container Nos./Seals	No. of packages	Description of packages and goods	Gross weight (kg)	Measurement (cbm)

ABOVE PARTICULARS DECLARED BY SHIPPER: CARRIER NOT RESPONSIBLE

Freight and charges
(indicate whether prepaid or collect)

Origin Inland Haulage charges .....

Origin terminal Handling/
LCL Service charges .....

Ocean Freight

Destination Terminal Handling/
LCL Service charges .....

Destination Inland haulage charges.....

Shipped on Board CDCS Express
30 May 20xx at Hong Kong

4

5

RECEIVED by the Carrier from the shipper in apparent good order and condition (unless otherwise noted herein) the total numbers or quantity of Containers or other packages or units indicated above stated by the shipper to comprise the cargo specified above, for transportation subject to all the terms hereof (including the terms on the reverse hereof) from the place of receipt or the port of loading, whichever applicable, to the port of discharge or the place of delivery, whichever applicable.

Delivery of the Goods will only be made on payment of all freight and charges.
On presentation of this document (duly endorsed) to the Carrier, by or on behalf of the holder, the rights and liabilities arising in accordance with the terms hereof shall (without prejudice to any rule of common law or statute rendering them binding upon the shipper, holder and Carrier) become binding in all respects between the carrier and holder as though the contract contained herein or evidenced hereby had been made between them.

In witness whereof three (3) original Bills of Lading unless otherwise stated below have been issued, one of which being accomplished, the others to be void.

Freight, charges and primage whether prepayable or not and whether paid or not shall be considered as fully earned upon shipment and shall be paid vessel and/or cargo lost or not lost.
(CONTINUED ON REVERSE SIDE)

Place and date of issue Kowloon 28 May 20xx

5

Declared value by shipper
(see clause 5.C.4 and tariff)

Movement

Releasing Agent

Freight payable at Hong Kong

Number of original Bs/L 3

7

Signed
By:
IFS Shipping as agent for the Carrier, Titanic Line

2

3

George Hykams

Source: Author, 2015

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14.3 Examining a bill of lading

UCP 600, article 20, is the rule that applies when examining a bill of lading.

a. A bill of lading, however named, must appear to:

i. indicate the name of the carrier and be signed by:

- the carrier or a named agent for or on behalf of the carrier, or
- the master or a named agent for or on behalf of the master.

Any signature by the carrier, master or agent must be identified as that of the carrier, master or agent.

Any signature by an agent must indicate whether the agent has signed for or on behalf of the carrier or for or on behalf of the master.

ii. indicate that the goods have been shipped on board a named vessel at the port of loading stated in the credit by:

- pre-printed wording, or
- an on board notation indicating the date on which the goods have been shipped on board.

The date of issuance of the bill of lading will be deemed to be the date of shipment unless the bill of lading contains an on board notation indicating the date of shipment, in which case the date stated in the on board notation will be deemed to be the date of shipment.

If the bill of lading contains the indication "intended vessel" or similar qualification in relation to the name of the vessel, an on board notation indicating the date of shipment and the name of the actual vessel is required.

iii. indicate shipment from the port of loading to the port of discharge stated in the credit.

If the bill of lading does not indicate the port of loading stated in the credit as the port of loading, or if it contains the indication "intended" or similar qualification in relation to the port of loading, an on board notation indicating the port of loading as stated in the credit, the date of shipment and the name of the vessel is required. This provision applies even when loading on board or shipment on a named vessel is indicated by pre-printed wording on the bill of lading.

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iv. be the sole original bill of lading or, if issued in more than one original, be the full set as indicated on the bill of lading.

v. contain terms and conditions of carriage or make reference to another source containing the terms and conditions of carriage (short form or blank back bill of lading). Contents of terms and conditions of carriage will not be examined.

vi. contain no indication that it is subject to a charter party.

b. For the purpose of this article, transhipment means unloading from one vessel and reloading to another vessel during the carriage from the port of loading to the port of discharge stated in the credit.

c.

i. A bill of lading may indicate that the goods will or may be transhipped provided that the entire carriage is covered by one and the same bill of lading.

ii. A bill of lading indicating that transhipment will or may take place is acceptable, even if the credit prohibits transhipment, if the goods have been shipped in a container, trailer or LASH barge as evidenced by the bill of lading.

d. Clauses in a bill of lading stating that the carrier reserves the right to tranship will be disregarded.

There is further detail on when UCP 600, article 20, will apply in **ISBP 745, paragraph E1(a)**.

a. A requirement in a credit for the presentation of a transport document, however named, only covering a port-to-port shipment, i.e., a credit that contains no reference to a place of receipt or taking in charge or place of final destination means that UCP 600 article 20 is to be applied in the examination of that document.

ISBP 745, paragraph E2, provides further as follows.

A bill of lading need not be titled "marine bill of lading", "ocean bill of lading", "port-to-port bill of lading" or words of similar effect even when the credit so names the required document.

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14.3.1 Document analysis – bill of lading

Many of the terms are used in the same way as under UCP 600, article 19. Where there are additional requirements specific to UCP 600, article 20, these are indicated below.

a. A bill of lading, however named,[1] must appear to:

i. indicate the name of the carrier and be signed [2] by:

- the carrier or a named agent for or on behalf of the carrier, or
- the master or a named agent for or on behalf of the master.

Any signature by the carrier, master or agent must be identified as that of the carrier, master or agent.

Any signature by an agent must indicate whether the agent has signed for or on behalf of the carrier or for or on behalf of the master.

1. **'** ... **however named'**

   The requirements are the same as under UCP 600, article 19. In addition, the document must meet the required method of transport, such as 'by sea'.

2. **'** ... **indicate the name of the carrier and be signed'**

   The requirement is the same as under UCP 600, article 19. If an agent signs for or on behalf of the master, there is no need for the name of the master to be stated. UCP 600 does not define the terms 'carrier' or 'master' for this purpose.

   It should also be noted that a master or an agent acting on the master's behalf does not need to indicate the name of the carrier when signing the document, as long as the name of the carrier is indicated elsewhere on the face of the bill of lading.

This is covered in **ISBP 745, paragraph E5**.

a. A bill of lading is to be signed in the form described in UCP 600 sub-article 20 (a) (i) and to indicate the name of the carrier, identified as the carrier.

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b. When a bill of lading is signed by a named branch of the carrier, the signature is considered to have been made by the carrier.

c. When an agent signs a bill of lading for [or on behalf of] the carrier, the agent is to be named and, in addition, to indicate that it is signing as "agent for (name), the carrier" or as "agent on behalf of (name), the carrier" or words of similar effect. When the carrier is identified elsewhere in the document as the "carrier", the named agent may sign, for example, as "agent for [or on behalf of] the carrier" without naming the carrier again.

d. When the master (captain) signs a bill of lading, the signature of the master (captain) is to be identified as the "master" ("captain"). The name of the master (captain) need not be stated.

e. When an agent signs a bill of lading for [or on behalf of] the master (captain), the agent is to be named and, in addition, to indicate that it is signing as "agent for the master (or captain)", or as "agent on behalf of the master (or captain)" or words of similar effect. The name of the master (captain) need not be stated.

ii. indicate that the goods have been shipped on board [3] a named vessel at the port of loading stated in the credit by:

- pre-printed wording, or
- an on board notation indicating the date on which the goods have been shipped on board.

3. **' ... shipped on board'**
   The requirements are clearly outlined in **ISBP 745, paragraph E6**. This paragraph includes the content of the ICC Recommendation Paper for on board notations that was issued by the ICC Banking Commission in 2010.

a. When a pre-printed "Shipped on board" bill of lading is presented, its issuance date will be deemed to be the date of shipment unless it bears a separate dated on board notation. In the latter event, such date will be deemed to be the date of shipment whether that date is before or after the issuance date of the bill of lading. The on board date may also be indicated in a designated field or box.

b. Notwithstanding that a credit may require a bill of lading to evidence a port-to-port shipment:

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i. when a bill of lading indicates a place of receipt that is the same as the port of loading, for example, place of receipt Rotterdam CY and the port of loading Rotterdam, and there is no indication of a means of pre-carriage (either in the pre-carriage field or the place of receipt field); or

ii. when a bill of lading indicates a place of receipt different from the port of loading, for example, place of receipt Amsterdam and port of loading Rotterdam, and there is no indication of a means of pre-carriage (either in the pre-carriage field or the place of receipt field), then:

(a) when a bill of lading is pre-printed "shipped on board", the date of issue will be deemed to be the date of shipment, and no further on board notation is required.

(b) when a bill of lading is pre-printed "received for shipment", a dated on board notation is required, and the date appearing in the notation will be deemed to be the date of shipment. The on board date may also be indicated in a designated field or box.

c. Notwithstanding that a credit may require a bill of lading to evidence a port-to-port shipment, when a bill of lading:

i. indicates a place of receipt different from the port of loading, for example, place of receipt Amsterdam and port of loading Rotterdam, and there is an indication of a means of pre-carriage (either in the pre-carriage field or the place of receipt field), regardless of whether it is pre-printed "shipped on board" or "received for shipment", it is to bear a dated on board notation which also indicates the name of the vessel and the port of loading stated in the credit. Such notation may also appear in a designated field or box. The date appearing in the on board notation or designated field or box will be deemed to be the date of shipment.

ii. indicates a means of pre-carriage (either in the pre-carriage field or the place of receipt field), no matter if no place of receipt is stated or whether it is pre-printed "shipped on board" or "received for shipment", it is to bear a dated on board notation which also indicates the name of the vessel and the port of loading stated in the credit. Such notation may also appear in a designated field or box. The date appearing in the on board notation or designated field or box will be deemed to be the date of shipment.

d. When a bill of lading indicates wording such as "When the place of receipt box has been completed, any notation on this bill of lading of 'on board', 'loaded on board' or words of similar effect shall be deemed to be on board the means of transportation performing the

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carriage from the place of receipt to the port of loading" or words of similar effect, and if, in addition, the place of receipt box is completed, a bill of lading is to bear a dated on board notation. The dated on board notation is also to indicate the name of the vessel and the port of loading stated in the credit. Such notation may also appear in a designated field or box. The date appearing in the on board notation or designated field or box will be deemed to be the date of shipment.

e. The named port of loading, as required by the credit, should appear in the port of loading field on a bill of lading. However, it may also be stated in the field headed "Place of receipt" or words of similar effect, provided there is a dated on board notation evidencing that the goods were shipped on board a named vessel at the port stated under "Place of receipt" or words of similar effect.

f. A bill of lading is to indicate the port of loading stated in the credit. When a credit indicates the port of loading by also stating the country in which the port is located, the name of the country need not be stated.

g. When a credit indicates a geographical area or range of ports of loading (for example, "Any European Port" or "Hamburg, Rotterdam, Antwerp Port"), a bill of lading is to indicate the actual port of loading, which is to be within that geographical area or range of ports. A bill of lading need not indicate the geographical area.

h. When a bill of lading indicates more than one port of loading, it is to evidence an on board notation with the relevant on board date for each port of loading, regardless of whether it is pre-printed "received for shipment" or "shipped on board". For example, when a bill of lading indicates that shipment has been effected from Brisbane and Adelaide, a dated on board notation is required for both Brisbane and Adelaide.

The date of issuance [4a] of the bill of lading will be deemed to be the date of shipment [4] unless the bill of lading contains an on board notation indicating the date of shipment, in which case the date stated in the on board notation [4b] will be deemed to be the date of shipment.

If the bill of lading contains the indication "intended vessel" or similar qualification in relation to the name of the vessel, an on board notation indicating the date of shipment and the name of the actual vessel is required.

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4. **‘ ... date of shipment’**
   4a **‘ ... date of issuance’**

   In the case of a bill of lading bearing pre-printed wording that the goods have been shipped on board, the date of issuance of the bill of lading will be deemed to be the date of shipment.

   4b **‘ ... date of on board notation’**

   If a pre-printed received for shipment bill of lading is presented, it must contain an on board notation indicating the date of shipment. In this event, the date stated in the on board notation will be deemed to be the date of shipment.

iii. indicate shipment from the port of loading to the port of discharge stated in the credit.

If the bill of lading does not indicate the port of loading stated in the credit as the port of loading [5], or if it contains the indication “intended” or similar qualification in relation to the port of loading, an on board notation indicating the port of loading as stated in the credit, the date of shipment and the name of the vessel is required. This provision applies even when loading on board or shipment on a named vessel is indicated by pre-printed wording on the bill of lading.

5. **‘ ... does not indicate the port of loading stated in the credit as the port of loading’**

   In transportation by sea, it is common for goods to be transhipped between the ports of loading and discharge stated in the documentary credit. In these circumstances, bills of lading may show the port of loading stated in the documentary credit as the place of receipt. The port of loading on the bill of lading will represent the port of transhipment. If this situation occurs, the bill of lading requires an on board notation showing the port of loading stated in the documentary credit, the name of the vessel leaving that port and the date of shipment.

   The requirement to name the vessel applies even if the goods have been loaded on the vessel named in the bill of lading.

ISBP 745, paragraph E6 (see above) covers this and **ISBP 745, paragraphs E8–E10** cover issues relating to the port of discharge.

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E8) a. The named port of discharge, as required by the credit, should appear in the port of discharge field within a bill of lading.

b. However, the named port of discharge may be stated in the field headed "Place of final destination" or words of similar effect provided there is a notation evidencing that the port of discharge is that stated under "Place of final destination" or words of similar effect. For example, when a credit requires shipment to be effected to Felixstowe, but Felixstowe is shown as the place of final destination instead of the port of discharge, this may be evidenced by a notation stating "Port of discharge Felixstowe".

E9) A bill of lading is to indicate the port of discharge stated in the credit. When a credit indicates the port of discharge by also stating the country in which the port is located, the name of the country need not be stated.

E10) When a credit indicates a geographical area or range of ports of discharge (for example, "Any European Port" or "Hamburg, Rotterdam, Antwerp Port"), a bill of lading is to indicate the actual port of discharge, which is to be within that geographical area or range of ports. A bill of lading need not indicate the geographical area.

iv. be the sole original bill of lading or, if issued in more than one original, be the full set [6] as indicated on the bill of lading.

v. contain terms and conditions of carriage or make reference to another source containing the terms and conditions of carriage (short form or blank back bill of lading). Contents of terms and conditions of carriage will not be examined.

vi. contain no indication that it is subject to a charter party.

6. **' ... full set'**

The requirements are the same as under UCP 600, article 19.

This is covered in **ISBP 745, paragraph E11**.

a. A bill of lading is to indicate the number of originals that have been issued.

b. Bills of lading marked "First Original", "Second Original", "Third Original", or "Original", "Duplicate", "Triplicate" or similar expressions are all originals.

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b. For the purpose of this article, transhipment [7] means unloading from one vessel and reloading to another vessel during the carriage from the port of loading to the port of discharge stated in the credit.

c.

i. A bill of lading may indicate that the goods will or may be transhipped provided that the entire carriage is covered by one and the same bill of lading.

ii. A bill of lading indicating that transhipment will or may take place is acceptable, even if the credit prohibits transhipment, if the goods have been shipped in a container, trailer or LASH barge as evidenced by the bill of lading.

d. Clauses in a bill of lading stating that the carrier reserves the right to tranship will be disregarded.

7. **' ... transhipment'**

Transhipment is defined as 'unloading from one vessel and reloading to another vessel during the carriage from the port of loading to the port of discharge stated in the credit' (UCP 600, sub-article 20(b)).

Unless transhipment is prohibited by the terms of the documentary credit – that is, by exclusion of UCP 600, sub-article 20(c), banks will accept a bill of lading that indicates that the goods will be transhipped, as long as the entire ocean carriage is covered by one and the same bill of lading.

Even if the documentary credit prohibits transhipment, a bill of lading indicating that transhipment will take place is still to be accepted provided that:

- the bill of lading evidences that the relevant cargo has been shipped in a container, trailer or LASH barge; and
- the entire ocean carriage is covered by one and the same bill of lading (UCP 600, sub-article 20(c)(i)).

If transhipment is prohibited, banks will nonetheless accept a bill of lading that incorporates clauses stating that the carrier reserves the right to tranship (UCP 600, sub-article 20(d)).

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This is covered in **ISBP 745, paragraph E17**.

> Transhipment is the unloading and reloading of goods from one vessel to another during the carriage of those goods from the port of loading to the port of discharge stated in the credit. When a bill of lading does not indicate unloading and reloading between these two ports, it is not transhipment in the context of the credit and UCP 600 sub-articles 20 (b) and (c).

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Figure 14.2 Marine / ocean port-to-port bill of lading

Shipper (Complete name, address and phone number)

Consignee (Not negotiable unless consigned to order)

Notify party (Carrier not to be responsible for failure to notify)

Bill of Lading
For Combined Transport or
Port to Port Shipment 1

B/L No.: 134
Booking Ref: ABC567
Shipper's Ref: XYZ056

Titanic Line +
Anytown, Anywhere

Pre-carriage by*	Place of receipt* Kowloon
Vessel Voy. No. CDCS Express	Port of loading Hong Kong
Port of discharge Southampton	Place of delivery*

*Applicable only when this document is used as a Combined Transport Bill of Lading

Marks and Nos. Container Nos./Seals	No. of packages	Description of packages and goods	Gross weight (kg)	Measurement (cbm)

ABOVE PARTICULARS DECLARED BY SHIPPER: CARRIER NOT RESPONSIBLE

Freight and charges (indicate whether prepaid or collect)

Origin Inland Haulage charges .....

Origin terminal Handling/ LCL Service charges .....

Ocean Freight

Destination Terminal Handling/ LCL Service charges .....

Destination Inland haulage charges.....

Shipped on Board CDCS Express 30 May 20xx at Hong Kong 4 5

RECEIVED by the Carrier from the shipper in apparent good order and condition (unless otherwise noted herein) the total numbers or quantity of Containers or other packages or units indicated above stated by the shipper to comprise the cargo specified above, for transportation subject to all the terms hereof (including the terms on the reverse hereof) from the place of receipt or the port of loading, whichever applicable, to the port of discharge or the place of delivery, whichever applicable.

Delivery of the Goods will only be made on payment of all freight and charges.
On presentation of this document (duly endorsed) to the Carrier, by or on behalf of the holder, the rights and liabilities arising in accordance with the terms hereof shall (without prejudice to any rule of common law or statute rendering them binding upon the shipper, holder and Carrier) become binding in all respects between the carrier and holder as though the contract contained herein or evidenced hereby had been made between them.

In witness whereof three (3) original Bills of Lading unless otherwise stated below have been issued, one of which being accomplished, the others to be void.

Freight, charges and primage whether prepayable or not and whether paid or not shall be considered as fully earned upon shipment and shall be paid vessel and/or cargo lost or not lost.
(CONTINUED ON REVERSE SIDE)

Place and date of issue Kowloon 28 May 20xx 5

Declared value by shipper (see clause 5.C.4 and tariff)

Releasing Agent

Movement

Freight payable at Hong Kong

Number of original Bs/L 3 6

Signed
By:
IFS Shipping as agent for the Carrier, Titanic Line 2

3 George Hyhams

Source: Author, 2015

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Notes to Figure 14.2

Key criteria

Documentary credit requires the presentation of a bill of lading covering shipment from Hong Kong to Southampton.

1. However named – document can be titled bill of lading, house bill of lading, forwarder's bill of lading etc.
2. Name of carrier – at the signature line, the carrier (Titanic Line) is identified.
3. Signed – the document is signed by IFS Shipping as agents of the carrier.
4. Evidence of shipment from Hong Kong – there is a dated on board notation indicating that the goods were shipped from Hong Kong port on 30 May 20XX. The addition of a place of receipt that is different to the port of loading requires no additional information to appear as part of the on board notation.
5. Date of shipment – the document is issued on 28 May 20XX but the on board date is 30 May 20XX. The date of shipment is 30 May 20XX.
6. Full set – the document indicates that three originals have been issued.

In addition note the following:

- Terms and conditions of carriage – either the full terms will be indicated on the reverse of this page or they will be referenced by an address, web address, location where they may be viewed (short form or blank back).
- Charter party – there is no indication that the shipment was subject to a charter party.
- Transhipment – this document covers the carriage from Kowloon to Southampton via Hong Kong but there is no indication of transhipment occurring between Hong Kong and Southampton. In any event, provided the goods were shipped in containers, trailers or LASH barges, any indication of transhipment would be acceptable, provided the entire carriage was covered by one and the same bill of lading.

14.4 Examining a non-negotiable sea waybill

UCP 600, article 21, is the rule that applies when examining a non-negotiable sea waybill.

a. A non-negotiable sea waybill, however named, must appear to:

i. indicate the name of the carrier and be signed by:

- the carrier or a named agent for or on behalf of the carrier, or
- the master or a named agent for or on behalf of the master.

Any signature by the carrier, master or agent must be identified as that of the carrier, master or agent.

Any signature by an agent must indicate whether the agent has signed for or on behalf of the carrier or for or on behalf of the master.

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ii. indicate that the goods have been shipped on board a named vessel at the port of loading stated in the credit by:

- pre-printed wording, or
- an on board notation indicating the date on which the goods have been shipped on board.

The date of issuance of the non-negotiable sea waybill will be deemed to be the date of shipment unless the non-negotiable sea waybill contains an on board notation indicating the date of shipment, in which case the date stated in the on board notation will be deemed to be the date of shipment.

If the non-negotiable sea waybill contains the indication "intended vessel" or similar qualification in relation to the name of the vessel, an on board notation indicating the date of shipment and the name of the actual vessel is required.

iii. indicate shipment from the port of loading to the port of discharge stated in the credit.

If the non-negotiable sea waybill does not indicate the port of loading stated in the credit as the port of loading, or if it contains the indication "intended" or similar qualification in relation to the port of loading, an on board notation indicating the port of loading as stated in the credit, the date of shipment and the name of the vessel is required. This provision applies even when loading on board or shipment on a named vessel is indicated by pre-printed wording on the non-negotiable sea waybill.

iv. be the sole original non-negotiable sea waybill or, if issued in more than one original, be the full set as indicated on the non-negotiable sea waybill.

v. contain terms and conditions of carriage or make reference to another source containing the terms and conditions of carriage (short form or blank back non-negotiable sea waybill). Contents of terms and conditions of carriage will not be examined.

vi. contain no indication that it is subject to a charter party.

b. For the purpose of this article, transhipment means unloading from one vessel and reloading to another vessel during the carriage from the port of loading to the port of discharge stated in the credit.

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c.

i. A non-negotiable sea waybill may indicate that the goods will or may be transhipped provided that the entire carriage is covered by one and the same non-negotiable sea waybill.

ii. A non-negotiable sea waybill indicating that transhipment will or may take place is acceptable, even if the credit prohibits transhipment, if the goods have been shipped in a container, trailer or LASH barge as evidenced by the non-negotiable sea waybill.

d. Clauses in a non-negotiable sea waybill stating that the carrier reserves the right to tranship will be disregarded.

The provisions of UCP 600, article 21, are the same substantive requirements as those for bills of lading under UCP 600, article 20.

14.5 Examining a charter party bill of lading

UCP 600, article 22, is the rule that applies when examining a charter party bill of lading.

a. A bill of lading, however named, containing an indication that it is subject to a charter party (charter party bill of lading), must appear to:

i. be signed by:

- the master or a named agent for or on behalf of the master, or
- the owner or a named agent for or on behalf of the owner, or
- the charterer or a named agent for or on behalf of the charterer.

Any signature by the master, owner, charterer or agent must be identified as that of the master, owner, charterer or agent.

Any signature by an agent must indicate whether the agent has signed for or on behalf of the master, owner or charterer.

An agent signing for or on behalf of the owner or charterer must indicate the name of the owner or charterer.

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ii. indicate that the goods have been shipped on board a named vessel at the port of loading stated in the credit by:

- pre-printed wording, or
- an on board notation indicating the date on which the goods have been shipped on board.

The date of issuance of the charter party bill of lading will be deemed to be the date of shipment unless the charter party bill of lading contains an on board notation indicating the date of shipment, in which case the date stated in the on board notation will be deemed to be the date of shipment.

iii. indicate shipment from the port of loading to the port of discharge stated in the credit. The port of discharge may also be shown as a range of ports or a geographical area, as stated in the credit.

iv. be the sole original charter party bill of lading or, if issued in more than one original, be the full set as indicated on the charter party bill of lading.

b. A bank will not examine charter party contracts, even if they are required to be presented by the terms of the credit.

There is further detail on when UCP 600, article 22, will apply in **ISBP 745, paragraphs G1 and G2**.

G1) When there is a requirement in a credit for the presentation of a charter party bill of lading, or when a credit allows presentation of a charter party bill of lading and a charter party bill of lading is presented, UCP 600 article 22 is to be applied in the examination of that document.

G2) a. A transport document, however named, containing any indication that it is subject to, or any reference to, a charter party is deemed to be a charter party bill of lading.

b. A transport document, however named, indicating expressions such as “freight payable as per charter party dated (with or without mentioning a date)”, or “freight payable as per charter party”, will be an indication that it is subject to a charter party.

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14.5.1 Document analysis – charter party bill of lading

Many of the terms are used in the same way as under UCP 600, article 19. Where there are additional requirements specific to UCP 600, article 22, these are indicated below.

a. A bill of lading, however named, containing an indication [1] that it is subject to a charter party (charter party bill of lading), must appear to:

i. be signed [2] by:

- the master or a named agent for or on behalf of the master, or
- the owner or a named agent for or on behalf of the owner, or
- the charterer or a named agent for or on behalf of the charterer.

Any signature by the master, owner, charterer or agent must be identified as that of the master, owner, charterer or agent.

Any signature by an agent must indicate whether the agent has signed for or on behalf of the master, owner or charterer.

An agent signing for or on behalf of the owner or charterer must indicate the name of the owner or charterer.

1. **‘ ... indication’**

   A documentary credit may also allow for, or call for, a charter party bill of lading to be presented. If the credit does not call for, or allow, a charter party bill of lading, banks will refuse a bill of lading if it contains any indication that it is subject to a charter party.

   When determining whether a bill of lading contains an indication that it is subject to a charter party, this cannot always be ascertained from the title of the document. It will be the content that determines whether the document is examined under article 22 or not. This is covered in **ISBP 745, paragraph G3**.

A transport document, however named, containing a code name or form name usually associated with a charter party bill of lading, for example, “Congenbill” or “Tanker Bill of Lading” without any further indication or reference to a charter party, is not by itself an indication of, or reference to, a charter party.

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2. **' ... signed'**

A charter party bill of lading must appear to have been signed by:

- the master or a named agent for or on behalf of the master;
- the owner or a named agent for or on behalf of the owner; or
- the charterer or a named agent for or on behalf of the charterer.

Any signature by the master, owner, charterer or agent must be identified as that of the master, owner, charterer or agent. Any signature by an agent must indicate whether the agent has signed for or on behalf of the master, owner or charterer. When signing for or on behalf of the master, the agent need not name the master.

This is covered in **ISBP 745, paragraph G4**.

a. A charter party bill of lading is to be signed in the form described in UCP 600 sub-article 22 (a) (i).

b. When the master (captain), owner or charterer signs a charter party bill of lading, the signature of the master (captain), owner or charterer is to be identified as "master" ("captain"), "owner" or "charterer".

c. When an agent signs a charter party bill of lading for [or on behalf of] the master (captain), owner or charterer, the agent is to be named and, in addition, to indicate that it is signing as agent for [or on behalf of] the master (captain), owner or charterer as the case may be.

i. When a charter party bill of lading is signed by an agent for [or on behalf of] the master (captain), the name of the master (captain) need not be stated.

ii. When a charter party bill of lading is signed by an agent for [or on behalf of] the owner or charterer, the name of the owner or charterer is to be stated.

ii. indicate that the goods have been shipped on board [3] a named vessel at the port of loading stated in the credit by:

- pre-printed wording, or
- an on board notation indicating the date on which the goods have been shipped on board.

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The date of issuance of the charter party bill of lading will be deemed to be the date of shipment [3] unless the charter party bill of lading contains an on board notation indicating the date of shipment, in which case the date stated in the on board notation will be deemed to be the date of shipment.

3. **' ... shipped on board' and ' ... date of shipment'**

   This is covered in ISBP 745, paragraph G5, which substantially follows that in ISBP 745, paragraph E6 (see section 14.3).

iii. indicate shipment from the port of loading to the port of discharge [4] stated in the credit. The port of discharge may also be shown as a range of ports or a geographical area, as stated in the credit.

4. **' ... port of discharge'**

   This must be as stated in the documentary credit (UCP 600, sub-article 22(a)(iii)).

This is also covered in **ISBP 745, paragraphs G7–G9**.

G7) a. The named port of discharge, as required by the credit, should appear in the port of discharge field within a charter party bill of lading.

b. However, the named port of discharge may be stated in the field headed "Place of final destination" or words of similar effect provided there is a notation evidencing that the port of discharge is that stated under "Place of final destination" or words of similar effect. For example, when a credit requires shipment to be effected to Felixstowe, but Felixstowe is shown as the place of final destination instead of the port of discharge, this may be evidenced by a notation stating "Port of discharge Felixstowe".

G8) A charter party bill of lading is to indicate the port of discharge stated in the credit. When a credit indicates the port of discharge by also stating the country in which the port is located, the name of the country need not be stated.

G9) When a credit indicates a geographical area or range of ports of discharge (for example, "Any European Port" or "Hamburg, Rotterdam, Antwerp Port"), a charter party bill of lading may indicate the actual port of discharge, which is to be within that geographical area or range of ports, or it may show the geographical area or range of ports as the port of discharge.

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Figure 14.3 Charter party bill of lading

CODE NAME: "CONGENBILL". Page 2

Shipper

BILL OF LADING 1
TO BE USED WITH CHARTER-PARTIES 2
B/L No. 1
Reference No: EFG 2389

Consignee

Notify address

Vessel: Sea Largo
Port of loading: Dammam 6
Port of discharge: Mumbai 6

Shipper's description of goods — Gross weight:

(of which on deck at Shipper's risk; the Carrier not being responsible for loss or damage howsoever arising)

4

Freight payable as per
CHARTER-PARTY dated 15 February 20xx 8

FREIGHT ADVANCE.
Received on account of freight:

Time used for loading ..... days ..... hours.

SHIPPED at the Port of Loading in apparent good order and condition on board the Vessel for carriage to the Port of Discharge or so near thereto as she may safely get the goods specified above.

Weight, measure, quality, quantity, condition, contents and value unknown.

IN WITNESS whereof the Master or Agent of the said Vessel has signed the number of Bills of Lading indicated below all of this tenor and date, any one of which being accomplished the others shall be void.

FOR CONDITIONS OF CARRIAGE SEE OVERLEAF

P

Freight payable at

Place and date of issue Dammam – May 4, 20xx 5

Number of original Bs/L
3 7

Signature
For and on behalf of the Master of the MV Sea Largo
Speedy Shipping as agents 3
George Hyams

Source: Author, 2015

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Notes to Figure 14.3

Key criteria

Documentary credit calls for or permits the presentation of a charter party bill of lading.

1. However named – document is called a bill of lading.
2. Indication of charter party – reference appears in the heading and in the freight field below.
3. Signed – the document is signed by an agent of the master of the named vessel.
4. Loading on board – there is pre-printed wording that the goods have been shipped at the port of loading.
5. Date of shipment – the date of issue will be deemed to be the date of shipment.
6. Port of loading and port of discharge – these are to be those stated in the documentary credit.
7. Full set – the document indicates that three originals have been issued.
8. Charter party contract – even if attached or requested under the documentary credit, it will not be examined.

iv. be the sole original charter party bill of lading or, if issued in more than one original, be the full set [5] as indicated on the charter party bill of lading.

5. **' ... full set'**

The requirements are the same as under UCP 600, article 19.

This is also covered in **ISBP 745, paragraph G10**.

a. A charter party bill of lading is to indicate the number of originals that have been issued.

b. Charter party bills of lading marked "First Original", "Second Original", "Third Original", or "Original", "Duplicate", "Triplicate" or similar expressions are all originals.

b. A bank will not examine charter party contracts [6], even if they are required to be presented by the terms of the credit.

6. **' ... charter party contracts'**

Charter party contracts are essentially matters for the applicant or beneficiary, or their agents, who arrange the contract, hiring of vessels, time and purpose of the hire (and any other matters) in order to ensure that the cargo is delivered according to their agreement. It would be unfair and burdensome if banks were to be asked to scrutinise such contracts, and accordingly a document examiner is not required to perform this task.

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See also **ISBP 745, paragraph G27**.

Unless UCP 600 sub-article 22 (b) is specifically excluded and the credit specifically indicates the data that are to be examined and to what extent, banks do not examine any content of a charter party contract, even when such contract is required as a stipulated document under the credit.

14.6 Examining an air transport document

UCP 600, article 23, is the rule that applies when examining an air transport document.

a. An air transport document, however named, must appear to:

i. indicate the name of the carrier and be signed by:

- the carrier, or
- a named agent for or on behalf of the carrier.

Any signature by the carrier or agent must be identified as that of the carrier or agent.

Any signature by an agent must indicate that the agent has signed for or on behalf of the carrier.

ii. indicate that the goods have been accepted for carriage.

iii. indicate the date of issuance. This date will be deemed to be the date of shipment unless the air transport document contains a specific notation of the actual date of shipment, in which case the date stated in the notation will be deemed to be the date of shipment.

Any other information appearing on the air transport document relative to the flight number and date will not be considered in determining the date of shipment.

iv. indicate the airport of departure and the airport of destination stated in the credit.

v. be the original for consignor or shipper, even if the credit stipulates a full set of originals.

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vi. contain terms and conditions of carriage or make reference to another source containing the terms and conditions of carriage. Contents of terms and conditions of carriage will not be examined.

b. For the purpose of this article, transhipment means unloading from one aircraft and reloading to another aircraft during the carriage from the airport of departure to the airport of destination stated in the credit.

c.

i. An air transport document may indicate that the goods will or may be transhipped, provided that the entire carriage is covered by one and the same air transport document.

ii. An air transport document indicating that transhipment will or may take place is acceptable, even if the credit prohibits transhipment.

There is further detail on when UCP 600, article 23, will apply in **ISBP 745, paragraphs H1 and H2**.

H1) A requirement in a credit for the presentation of an air transport document, however named, covering an airport-to-airport shipment means that UCP 600 article 23 is to be applied in the examination of that document.

H2) An air transport document need not be titled "air waybill", "air consignment note" or words of similar effect even when the credit so names the required document.

14.6.1 Document analysis – air transport document

Many of the terms are used in the same way as under UCP 600, article 19. Where there are additional requirements specific to UCP 600, article 23, these are indicated below.

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a. An air transport document, however named [1], must appear to:

i. indicate the name of the carrier [2] and be signed [3] by:

- the carrier, or
- a named agent for or on behalf of the carrier.

Any signature by the carrier or agent must be identified as that of the carrier or agent.

Any signature by an agent must indicate that the agent has signed for or on behalf of the carrier.

1. **' ... however named'**

   The requirements are the same as under UCP 600, article 19.

   When freight forwarders act as contractual carriers on air shipments, they sometimes group together the goods received from several different shippers and obtain from the carrier a single air waybill, known as a 'master air waybill' (MAWB), covering the full load being shipped. The MAWB is issued in favour of the forwarding company.

   The forwarder then issues its own separate air waybills, known as house air waybills (HAWBs), in favour of each of the shippers concerned. For purposes of identification, the forwarder's air waybill may then indicate a number referred to in the document as the 'HAWB no.'. For internal administrative purposes, the document may also indicate a 'MAWB no.'.

   The use of a HAWB does not prejudice its acceptability, as long as the forwarding agent issuing it appears to be named on its face as the carrier or agent of a named carrier and that the air waybill has been signed in one of the ways stipulated in UCP 600, article 23. An air waybill is therefore not to be refused only because it indicates a HAWB and / or a MAWB number, unless the documentary credit does not allow HAWBs.

2. **' ... name of the carrier'**

   The document presented must appear to indicate the name of the carrier. For example, an International Air Transport Association (IATA) code for an airline without the name of the carrier would not be acceptable.

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Freight forwarders often issue air waybills in the capacity of contractual carriers. A contractual carrier is a company that undertakes responsibility for the carriage of the goods without being the actual carrier that operates the means of transport. An air waybill (or other transport document) is not to be refused on the grounds that it is issued by a forwarder acting as a contractual carrier in terms of UCP 600, sub-article 14(l), as long as the documentary credit does not prohibit a transport document issued by a freight forwarder and the documentary credit indicates the type of document that will or will not be acceptable under such a condition.

When a documentary credit prohibits the issuance of an air transport document by a freight forwarder, a document examiner should consider the content of **ISBP 745, paragraph H4**.

A stipulation in a credit that "Freight Forwarder's air waybill is not acceptable" or "House air waybill is not acceptable" or words of similar effect has no meaning in the context of the title, format, content or signing of an air transport document unless the credit provides specific requirements detailing how the air transport document is to be issued and signed. In the absence of these requirements, such a stipulation is to be disregarded, and the air transport document presented is to be examined according to the requirements of UCP 600 article 23.

3. **' ... signed'**

The document must appear to have been signed by:

- the carrier; or
- a named agent for or on behalf of the carrier.

This is also covered under **ISBP 745, paragraph H5**.

a. An air transport document is to be signed in the form described in UCP 600 sub-article 23 (a) (i) and to indicate the name of the carrier, identified as the carrier.

b. When an air transport document is signed by a named branch of the carrier, the signature is considered to have been made by the carrier.

c. The carrier is to be identified by its name instead of an IATA airline code, for example, British Airways instead of BA, Lufthansa instead of LH.

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A carrier signing the document must indicate that it signs as carrier. An agent must indicate the name and capacity of the party on whose behalf it signs (the carrier), as well as its own name. Under UCP 600, article 23, the name of the carrier must appear on the air waybill.

ii. indicate that the goods have been accepted for carriage [4].

4. **' ... accepted for carriage'**

An air transport document must indicate that the goods have been accepted for carriage. Unless there is a contrary stipulation on the documentary credit, this indication is sufficient by itself.

This is also covered in **ISBP 745, paragraph H7**.

An air transport document is to indicate that the goods have been accepted for carriage or words of similar effect.

iii. indicate the date of issuance. This date will be deemed to be the date of shipment unless the air transport document contains a specific notation [5] of the actual date of shipment, in which case the date stated in the notation will be deemed to be the date of shipment [6].

Any other information appearing on the air transport document relative to the flight number and date will not be considered in determining the date of shipment.

5. **' ... specific notation'**

If the documentary credit calls for an actual date of dispatch, a specific notation or stamp indicating that date must appear on the air transport document. An indication of an intended flight date is not sufficient.

It is also customary for air transport documents to include a box headed with the phrase 'for carrier use only', 'required flight date', 'routing and destination' or similar. The flight number and date contained in any such box is not considered a specific notation of the actual date of dispatch. This position applies to any other flight information that may appear on the air transport document that is outside a notation or flight stamp.

6. **' ... date of shipment'**

If the documentary credit calls for an actual date of dispatch, the date of shipment is deemed to be the actual date of dispatch appearing within

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a specific notation or flight stamp on the air transport document. Even when not called for by the documentary credit, a document examiner will always take the date in a notation or flight stamp as the date of shipment. In all other cases, the date of issuance of the air transport document will be deemed to be the date of shipment.

iv. indicate the airport of departure and the airport of destination [7] stated in the credit.

7. **' ... airport of departure and airport of destination'**

An air transport document must indicate the airport of departure and the airport of destination stipulated in the documentary credit.

This is also covered in **ISBP 745, paragraphs H9–H11**.

H9) An air transport document is to indicate the airport of departure and airport of destination stated in the credit. When a credit indicates either of these airports by also stating the country in which the airport is located, the name of the country need not be stated.

H10) The airport of departure and airport of destination may also be indicated by the use of IATA codes instead of evidencing the airport name in full (for example, LAX instead of Los Angeles).

H11) When a credit indicates a geographical area or range of airports of departure or destination (for example, "Any Chinese Airport" or "Shanghai, Beijing, Guangzhou airport"), an air transport document is to indicate the actual airport of departure or destination, which is to be within that geographical area or range of airports. An air transport document need not indicate the geographical area.

v. be the original for consignor or shipper [8], even if the credit stipulates a full set of originals

vi. contain terms and conditions of carriage or make reference to another source containing the terms and conditions of carriage. Contents of terms and conditions of carriage will not be examined.

b. For the purpose of this article, transhipment means unloading from one aircraft and reloading to another aircraft during the carriage from the airport of departure to the airport of destination stated in the credit.

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c.

i. An air transport document may indicate that the goods will or may be transhipped, provided that the entire carriage is covered by one and the same air transport document.

ii. An air transport document indicating that transhipment will or may take place is acceptable, even if the credit prohibits transhipment.

8. **' ... original for consignor or shipper'**

Air transport documents are customarily drawn up in sets of three originals. The set of originals issued by the carrier or its agent are distributed as follows:

- one original for the consignor or shipper (including a multimodal transport operator), which entrusts the goods to the airline for despatch (usually marked for the consignor or shipper);
- one original for the consignee as the recipient of the goods; and
- one original retained by the airline.

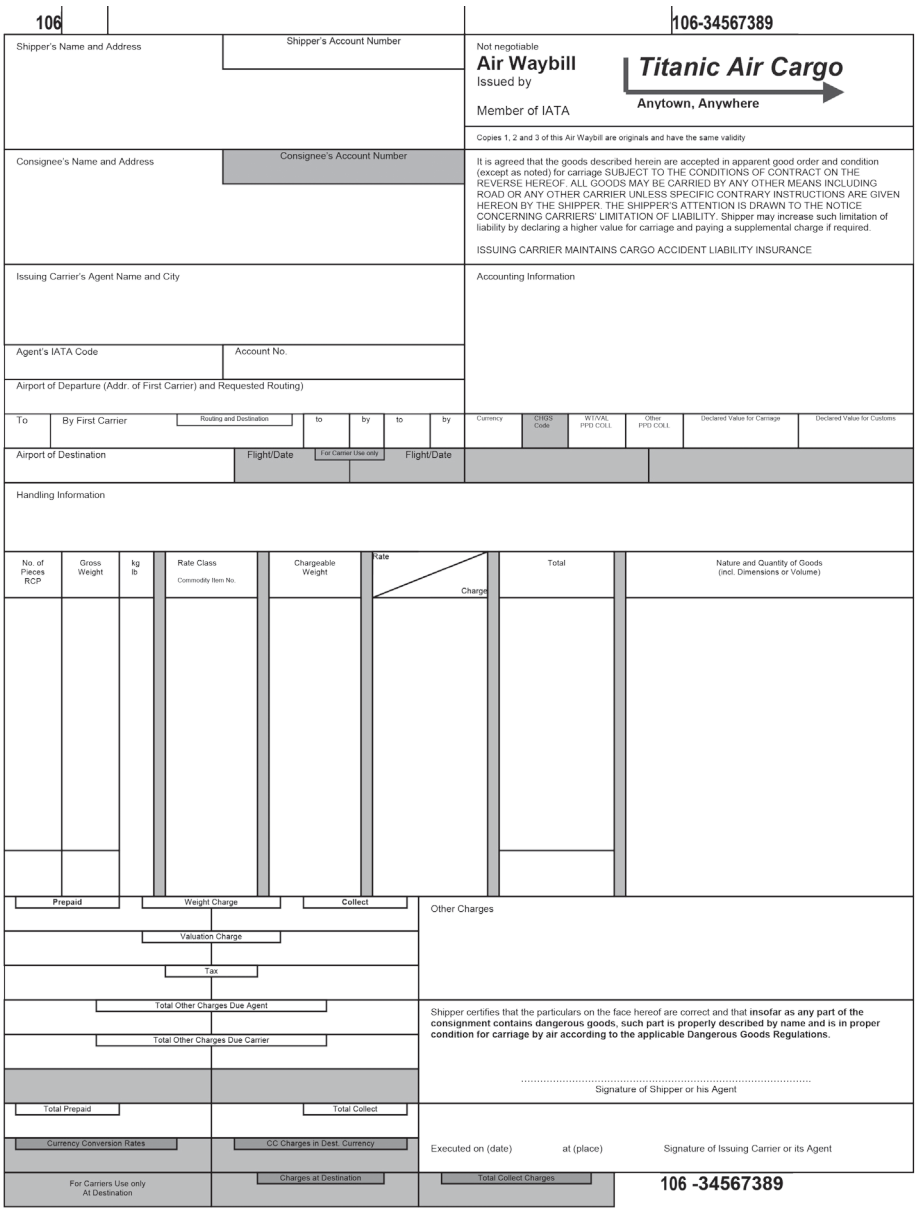
This is also covered in **ISBP 745, paragraph H12**.

An air transport document is to appear to be the original for consignor or shipper. When a credit requires a full set of originals, this is satisfied by the presentation of an air transport document indicating that it is the original for consignor or shipper.

When in possession of an air transport document that is marked for shipper or consignor, the shipper or consignor has the right to request a change in the name and address of the consignee up to the point of actual delivery of goods to the consignee. UCP 600 refers to the presentation of the document as being that designated for the consignor or shipper to minimise any chance of misdirection of goods on the journey.

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Figure 14.4 Air transport document



Source: Author, 2015

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14.7 Examining a road, rail or inland waterway transport document

UCP 600, article 24, is the rule that applies when examining a road, rail or inland waterway transport document.

a. A road, rail or inland waterway transport document, however named, must appear to:

i. indicate the name of the carrier and:

◆ be signed by the carrier or a named agent for or on behalf of the carrier, or

◆ indicate receipt of the goods by signature, stamp or notation by the carrier or a named agent for or on behalf of the carrier.

Any signature, stamp or notation of receipt of the goods by the carrier or agent must be identified as that of the carrier or agent.

Any signature, stamp or notation of receipt of the goods by the agent must indicate that the agent has signed or acted for or on behalf of the carrier.

If a rail transport document does not identify the carrier, any signature or stamp of the railway company will be accepted as evidence of the document being signed by the carrier.

ii. indicate the date of shipment or the date the goods have been received for shipment, dispatch or carriage at the place stated in the credit. Unless the transport document contains a dated reception stamp, an indication of the date of receipt or a date of shipment, the date of issuance of the transport document will be deemed to be the date of shipment.

iii. indicate the place of shipment and the place of destination stated in the credit.

b.

i. A road transport document must appear to be the original for consignor or shipper or bear no marking indicating for whom the document has been prepared.

ii. A rail transport document marked "duplicate" will be accepted as an original.

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iii. A rail or inland waterway transport document will be accepted as an original whether marked as an original or not.

c. In the absence of an indication on the transport document as to the number of originals issued, the number presented will be deemed to constitute a full set.

d. For the purpose of this article, transhipment means unloading from one means of conveyance and reloading to another means of conveyance, within the same mode of transport, during the carriage from the place of shipment, dispatch or carriage to the place of destination stated in the credit.

e.

i. A road, rail or inland waterway transport document may indicate that the goods will or may be transhipped provided that the entire carriage is covered by one and the same transport document.

ii. A road, rail or inland waterway transport document indicating that transhipment will or may take place is acceptable, even if the credit prohibits transhipment.

There is further detail on when UCP 600, article 24, will apply in **ISBP 745, paragraph J1**.

A requirement in a credit for the presentation of a transport document covering movement of goods by either road or rail or inland waterway means that UCP 600 article 24 is to be applied in the examination of that document.

14.7.1 Document analysis – road, rail or inland waterway transport document

Many of the terms are used in the same way as under UCP 600, article 19. Where there are additional requirements specific to UCP 600, article 24, these are indicated below.

a. A road, rail or inland waterway transport document, however named, must appear to:

i. indicate the name of the carrier [1] and:

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◆ be signed [2] by the carrier or a named agent for or on behalf of the carrier, or

◆ indicate receipt [2] of the goods by signature, stamp or notation by the carrier or a named agent for or on behalf of the carrier.

Any signature, stamp or notation of receipt of the goods by the carrier or agent must be identified as that of the carrier or agent.

Any signature, stamp or notation of receipt of the goods by the agent must indicate that the agent has signed or acted for or on behalf of the carrier.

If a rail transport document does not identify the carrier, any signature or stamp of the railway company will be accepted as evidence of the document being signed by the carrier.

1. **' ... name of the carrier'**

   The name of the carrier must be shown on the face of the document.

2. **' ... signed' and ' ... indicate receipt'**

   The document must appear to:

   ◆ have been signed by the carrier or a named agent for, or on behalf of, the carrier; or

   ◆ indicate receipt of the goods by signature, stamp or notation by the carrier or a named agent for or on behalf of the carrier (UCP 600, sub-article 24(a)(i)).

This is covered in **ISBP 745, paragraphs J2–J4**.

J2) a. A road, rail or inland waterway transport document is to be signed in the form described in UCP 600 sub-article 24 (a) (i) and to indicate the name of the carrier, identified as the carrier (except as stated in paragraph J4 (b)).

b. When a road, rail or inland waterway transport document is signed by a named branch of the carrier, the signature is considered to have been made by the carrier.

c. The term "carrier" includes terms such as "issuing carrier", "actual carrier", "succeeding carrier" and "contracting carrier".

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J3) Any signature, stamp or notation of receipt of the goods is to appear to indicate that it has been made by:

a. the carrier, identified as the carrier; or

b. a named agent acting or signing for [or on behalf of] the carrier and indicating the name of the carrier, identified as the carrier, on whose behalf that agent is acting or signing; or

c. a railway company or railway station of departure.

J4) a. The term "carrier" need not appear on the signature line provided the transport document appears to be signed by the carrier or a named agent for [or on behalf of] the carrier, and the carrier is otherwise identified elsewhere in the transport document as the "carrier".

b. A rail transport document may bear a date stamp by the railway company or railway station of departure without indicating the name of the carrier or a named agent signing for [or on behalf of] the carrier.

ii. indicate the date of shipment or the date the goods have been received for shipment, dispatch or carriage [3] at the place stated in the credit. Unless the transport document contains a dated reception stamp, an indication of the date of receipt or a date of shipment, the date of issuance of the transport document will be deemed to be the date of shipment [4].

3. **' ... received for shipment, dispatch or carriage'**

The transport document must indicate that the goods have been received for shipment, dispatch or carriage (UCP 600, sub-article 24(a)(ii)).

4. **' ... date of shipment'**

If the transport document contains a dated reception stamp, the date of that stamp will be deemed to be the date of shipment. If not, the date of issuance of the document will be deemed to be the date of shipment (UCP 600, sub-article 24(a)(ii)).

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iii. indicate the place of shipment and the place of destination [5] stated in the credit.

5. **' ... place of shipment and the place of destination'**

The transport document must indicate the place of shipment and the place of destination stated in the documentary credit.

b.

i. A road transport document must appear to be the original for consignor or shipper or bear no marking indicating for whom the document has been prepared.

ii. A rail transport document marked "duplicate" will be accepted as an original.

iii. A rail or inland waterway transport document will be accepted as an original whether marked as an original or not [6].

6. **' ... marked as an original or not'**

Unless the documentary credit stipulates that the transport document should be specifically marked as original, a document examiner may accept documents as presented as originals even if they are not marked as such (but see conditions in UCP 600, sub-article 24(b), and **ISBP 745, paragraph J7**).

a. A rail or inland waterway transport document is to be considered as an original whether or not it is so marked.

b. A road transport document is to indicate that it is the original for consignor or shipper (copy for sender) or bear no marking indicating for whom the document has been prepared.

c. Presentation of the original for consignor or shipper (copy for sender) of a road transport document or duplicate rail transport document shall suffice even when the credit requires presentation of a full set of the relevant transport documents.

d. A duplicate (often a carbon copy) of a rail transport document, authenticated by the signature or stamp of the railway company or the railway station of departure, is considered to be an original.

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c. In the absence of an indication on the transport document as to the number of originals issued, the number presented will be deemed to constitute a full set [7].

d. For the purpose of this article, transhipment [8] means unloading from one means of conveyance and reloading to another means of conveyance, within the same mode of transport, during the carriage from the place of shipment, dispatch or carriage to the place of destination stated in the credit.

e.

i. A road, rail or inland waterway transport document may indicate that the goods will or may be transhipped provided that the entire carriage is covered by one and the same transport document.

ii. A road, rail or inland waterway transport document indicating that transhipment will or may take place is acceptable, even if the credit prohibits transhipment.

7. **' ... full set'**

If there is no indication of the number of original documents issued, a document examiner may accept the documents as presented as representing a full set.

8. **' ... transhipment'**

A transport document that indicates that transhipment occurs from one transport mode to a different one – for example road to rail, river to rail, or road to air – is subject to review under UCP 600, article 19.

UCP 600, sub-article 24(d), applies only if the entire carriage is covered by one and the same transport document. A presentation of multiple transport documents will not comply with the documentary credit terms unless, together, they cover the entire carriage stipulated in the documentary credit and the documentary credit allows the presentation of more than one transport document.

In the case of international road transport, the transport document issued is most often known as a 'CMR consignment note' (see Chapter 12, section 12.3.6). Characteristically, CMR consignment notes are drawn up as a set of several originals. One original only – typically bearing the printed indication 'original for shipper', 'copy for sender' or similar wording – is handed to the shipper (the beneficiary or other person sending the goods). Other originals in the set are used for the

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internal administrative procedures of the road carrier issuing the note and for other parties involved in the goods movement.

If a credit calls for a CMR consignment note without specifically stipulating the original for shipper, copy for sender or similar, banks are not concerned to see that wording to this effect appears on the document presented to them. This results from the fact that UCP 600, sub-article 24(b)(i), refers to a document so marked or one that bears no marking for whom the document is intended.

Figure 14.5 provides an example of a road transport document (CMR).

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Figure 14.5 Road, rail and inland waterway transport document

LETTRE DE VOITURE INTERNATIONALE **CMR** **INTERNATIONAL CONSIGNMENT NOTE**

Sender (Name, Address, Country) Expéditeur (Nom, Addresse, Pays) 1	Customs Reference/Status Référence/désignation pour mise en douane 2 Senders/Agents reference Référence del'expéditeur/de l'agent 3
Consignee (Name, Address, Country) Destinaire (Nom, Addresse, Pays) 4	Carrier (Name, Address, Country) Transporteur (Nom, Addresse, Pays) 5
Place & date of taking over the goods (place, country, date) Lieu et date de la prise en charge des marchandises (Lieu, pays, date) 6	Successive Carriers Transporteurs Successifs 7
Place designated for delivery of goods (place, country) Lieu prévu pour la livraison des merchandises (lieu, pays) 8	This carriage is subject, notwithstanding any clause to the contrary, to the Convention on the Contract for the International Carriage of Goods by Road (CMR) Ce transport est soumis nonobstant toute clause contraire à la Convention Relative au Contrat de Transport International de Marchandises par Route (CMR)

COPY 1 SENDER
COPY 2 CONSIGNEE
COPY 3 CARRIER

*NB FOR DANGEROUS GOODS INDICATE 1 CORRECT TECHNICAL NAME (PROPER SHIPPING NAME) 2 HAZARD CLASS 3 U.N. NUMBER 4 FLASH POINT (IF ANY) IN C.	Marks & Nos; No & Kind of Packages; Description of Goods* Marques et Nos; No et nature des colis; Designation des Marchandises* 9	Gross weight (kg) 10 Poids Brut (kg) Volume (m^3) 11 Cubage (m^3)
	Carriage Charges Prix de Transport 12	Senders Instructions for Customs, etc … Instructions de l'Expéditeur (optional) 13
	Reservations Réserves 14	Documents Attached Documents Annexés (optional) 15 Special agreements Conventions particulières (optional 16
	Goods Received/Marchandises Recues 17	Signature and stamp of Carrier/Signature et timbre du Transporteur 18 Company completing this note Société émettrice 19 Place and Date; Signature Lieu et Date; Signature 20

Source: Author, 2015

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14.8 Examining a courier receipt, postal receipt or certificate of posting

UCP 600, article 25, is the rule that applies when examining a courier receipt, postal receipt or certificate of posting.

a. A courier receipt, however named, evidencing receipt of goods for transport, must appear to:

i. indicate the name of the courier service and be stamped or signed by the named courier service at the place from which the credit states the goods are to be shipped; and

ii. indicate a date of pick-up or of receipt or wording to this effect. This date will be deemed to be the date of shipment.

b. A requirement that courier charges are to be paid or prepaid may be satisfied by a transport document issued by a courier service evidencing that courier charges are for the account of a party other than the consignee.

c. A post receipt or certificate of posting, however named, evidencing receipt of goods for transport, must appear to be stamped or signed and dated at the place from which the credit states the goods are to be shipped. This date will be deemed to be the date of shipment.

14.8.1 Document analysis – courier receipt, postal receipt or certificate of posting

There are several terms in UCP 600, article 25, that are important for the document examiner, as follows.

a. A courier receipt, however named [1], evidencing receipt of goods for transport, must appear to:

i. indicate the name of the courier [2] service and be stamped or signed [3] by the named courier service [4] at the place from which the credit states the goods are to be shipped; and

ii. indicate a date of pick-up or of receipt [5] or wording to this effect. This date will be deemed to be the date of shipment [6].

1. **‘ ... however named’**

   A courier document need not be called a ‘courier receipt’.

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2. **‘ ... name of the courier’**

   This must be shown so that there is no doubt about who is carrying the goods. If a documentary credit calls for despatch by a named courier company, its name must appear on the document.

3. **‘ ... stamped or signed’**

   The document must appear to have been stamped or signed by a named courier service.

4. **‘ ... named courier service’**

   Unless the documentary credit specifically calls for a document issued by a named courier service, banks will accept a document issued by any courier service.

5. **‘ ... pick-up or of receipt’**

   The document must indicate a date of pick-up or of receipt, or must use wording to this effect. ‘Pick-up’ applies if the courier service collects the goods from the sender. ‘Receipt’ is the situation in which the sender takes the goods to the courier service.

6. **‘ ... date of shipment’**

   The date of pick-up or of receipt is deemed to be the date of shipment or dispatch of the goods.

b. A requirement that courier charges are to be paid or prepaid may be satisfied by a transport document issued by a courier service evidencing that courier charges are for the account of a party other than the consignee.

c. A post receipt or certificate of posting [7], however named, evidencing receipt of goods for transport, must appear to be stamped or signed [8] and dated at the place from which the credit states [9] the goods are to be shipped. This date will be deemed to be the date of shipment [10].

7. **‘ ... a post receipt or certificate of posting’**

   A document need not be called a ‘postal receipt’ or ‘certificate of posting’.

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8. **‘ ... stamped or signed’**

   The document must show that it was issued by a post office, usually by means of a post office stamp, sometimes followed by an initial or signature at the bottom of the document.

9. **‘ ... at the place from which the credit states’**

   There must be evidence on the document that it was issued from the place required under the documentary credit as being the place of dispatch.

10. **‘ ... the date of shipment’**

    The date of shipment will be the date shown on the stamp, and if not, the date as evidenced elsewhere on the receipt or certificate.

Figure 14.6 provides an example of a courier receipt and Figure 14.7 provides an example of a certificate of posting.

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Figure 14.6 Specimen courier receipt

ifs Carriers

INSTRUCTIONS
1. Type or print firmly
2. Complete applicable unshaded areas.
3. Call us if you have any questions.

FORWARDER AIRBILL - NON NEGOTIABLE	ORIGIN	DESTINATION
	PIECES	WEIGHT
		kg gr

SHIPPER'S ACCOUNT No.	SHIPPER'S REFERENCE No.

SENT BY (COMPANY NAME)	CONSIGNEE (COMPANY NAME)
NAME/DEPARTMENT	NAME/DEPARTMENT
ADDRESS	ADDRESS - DHL CANNOT DELIVER TO PO BOX
CITY STATE/PROVINCE COUNTRY	CITY STATE/PROVINCE COUNTRY
ZIP/POST CODE PHONE/TELEX/FAX	ZIP/POST CODE PHONE/TELEX/FAX

SERVICES	CHARGES
DOCUMENT ☐ EXPRESS DOCUMENT ☐	
WORLDWIDE PARCEL EXPRESS (INTERNATIONAL DUTIABLE) ☐	
WORLD MAIL AIR MAIL ☐ PRINTED MATTER ☐	
INSURANCE YES ☐ NO ☐ AMOUNT _____	
OTHER ☐	
TOTAL	

DESCRIPTION OF CONTENTS/COMMODITY CODE	IMPORT CHARGES			COLLECTED BY DHL	LIMITATIONS OF LIABILITY
PLEASE ATTACH FOUR COPIES OF A COMMERCIAL OR PROFORMA INVOICE FOR ALL NON-DOCUMENT SHIPMENTS	DUTY	OTHER	TOTAL		THE WARSAW CONVENTION AND OTHER CONTRACTUAL EXCLUSIONS AND LIMITATIONS OF LIABILITY APPLY. SEE REVERSE OF SHIPPERS COPY FOR DETAILS.
DIMENSIONS (cm) LENGTH ′ WIDTH ′ HEIGHT = VOLUME	DECLARED VALUE FOR CUSTOMS SPECIFY CURRENCY _____	CHARGE TO: ☐ SHIPPER ☐ CONSIGNEE ACCOUNT No.		DATE TIME	SHIPPER'S SIGNATURE DATE

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Figure 14.7 Postal receipt or certificate of posting



LIST OF PARCELS

Posted by: Beneficiary Ltd, Hong Kong Date: _____ Time: _____

	Serial No.	FULL NAME AND ADDRESS AS SHOWN ON PARCEL	Postage Paid
1			
2			
3			
4	Hong Kong		
5			
6			
7	Hong Kong		
8			
9			
0	Hong Kong		
1			
2			
3	Hong Kong		
4			
5			
6	Hong Kong	Marked:-	
7		IET	
8			
9	Hong Kong		
0		Made in Hong Kong	
1			
2			

List checked at the post office

_____signature of Checking Officer

Note for Checking Officer - Any unused spaces on the form must be cancelled.

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14.9 Clean transport documents

UCP 600, article 27, covers what is meant by 'clean transport document'.

> A bank will only accept a clean transport document. A clean transport document is one bearing no clause or notation expressly declaring a defective condition of the goods or their packaging. The word "clean" need not appear on a transport document, even if a credit has a requirement for that transport document to be "clean on board".

These provisions are amplified by ISBP 745, paragraphs D24 and D25, E20 and E21, F18 and F19, G18 and G19, H20 and H21, and J15 and J16, all of which provide a similar wording for the type of transport document to which they relate.

As an example, **ISBP 745, paragraphs D24 and D25**, relate to multimodal transport documents.

> D24) A multimodal transport document is not to include a clause or clauses that expressly declare a defective condition of the goods or their packaging.
>
> For example:
>
> a. A clause on a multimodal transport document such as "packaging is not sufficient for the sea journey" or words of similar effect is an example of a clause expressly declaring a defective condition of the packaging.
>
> b. A clause on a multimodal transport document such as "packaging may not be sufficient for the sea journey" or words of similar effect does not expressly declare a defective condition of the packaging.
>
> D25) a. It is not necessary for the word "clean" to appear on a multimodal transport document even when the credit requires a multimodal transport document to be marked "clean on board" or "clean".
>
> b. Deletion of the word "clean" on a multimodal transport document does not expressly declare a defective condition of the goods or their packaging.

The applicant is assumed to want a clean transport document. This is defined as being a document that bears no clause or notation that expressly declares a defective condition of the goods or its packaging. Unless the

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documentary credit stipulates otherwise, banks will refuse documents bearing such clauses or notations. Sometimes, what appears to be a defect may be acceptable in a particular trade, in which case the documentary credit should specifically allow the notation.

14.10 Examination checklist

The following examination checklist is not exhaustive, but is provided as a general guide when examining transport documents that may be presented under a documentary credit.

It is not to be construed as being other than solely for guidance, and each document examiner is required to complete a full review of all of the stipulated documents presented under a documentary credit in order to determine whether or not they comply.

- ✓ Ensure that the full set of originals issued is presented unless there are instructions in the documentary credit for the disposal of one or more originals.

- ✓ Ensure that the document is not a 'charter party' transport document, unless authorised or required in the documentary credit.

- ✓ Ensure that it meets the conditions of the respective transport article of the UCP 600 and, if applicable, has been issued according to UCP 600, sub-article 14(l).

- ✓ Ensure that the name of the consignee is as required under the documentary credit.

- ✓ Ensure that if the transport document requires endorsement, it is appropriately endorsed.

- ✓ Ensure that the document bears the name of the carrier (when required by the respective transport article of the UCP 600).

- ✓ Ensure that the name and address of the notify party, if any, is as specified in the documentary credit and under UCP 600, sub-article 14(j).

- ✓ Ensure that the description of the goods in the document does not conflict with the description of the goods stated in the documentary credit, and that the marks and numbers, as well as any other specifications, are not in conflict with those appearing on any other stipulated document.

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- ✓ Ensure that the transport document indicates 'freight prepaid' or 'freight collect', as required by the terms of the documentary credit.
- ✓ Ensure that there are no clauses on the transport document that may render it unclean under UCP 600, article 27.
- ✓ Ensure that all other conditions stipulated in the appropriate transport article of the UCP 600 are complied with, including that the documents are correctly signed.

Questions

1. 'A multimodal transport document is a document that covers the shipment of goods on more than one mode of transport. For the purpose of examining the multimodal transport document, there is no need for there to be an indication of the modes of transport that have been utilised.' Is this statement true or false?

   A. True

   B. False

2. 'A documentary credit requires shipment to be effected from Antwerp to New York with the presentation of a bill of lading. The presented bill of lading indicates as follows.

   Pre-carriage: Blank

   Place of receipt: Brussels

   Ocean vessel: European Star

   Port of loading: Antwerp

   Port of discharge: New York

   Place of delivery: Blank

   'It also indicates "shipped on board 30 March 20XX".

   'Because there is an indication of a place of receipt that is different from the port of loading, the document should be refused, because the

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on board notation should also include the name of the vessel and the port of loading.' Is this statement true or false?

A. True

B. False

3. 'An air transport document is presented and it has been issued by British Airways. It is signed "For British Airways". Nowhere on the document does it specifically refer to the name of the carrier. Even though British Airways is a global carrier of goods, the document should be refused for the absence of an indication that British Airways is the carrier.' Is this statement true or false?

   A. True

   B. False

4. 'A bill of lading is presented and it is signed "John Smith Ltd as agent of the master". The bill of lading need not indicate the name of the master.' Is this statement true or false?

   A. True

   B. False

5. A credit requires the presentation of '3 / 3' (that is, three of three) original multimodal transport documents. The presented document indicates that four originals have been issued. The beneficiary has presented three originals. The nominated bank has refused the documents for the absence of one original multimodal transport document. The beneficiary is arguing that the credit required only three originals to be presented. Whose position is right?

   A. The beneficiary

   B. The nominated bank

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